



Advanced Guide to Forex News Trading

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Part II: 'Trade the News' Strategy

The 'Trade the News' Strategy

With the basics covered, we will outline a simple strategy that can be tailored to meet different market conditions as well as the various styles of trading. This is the strategy we will play **SHOULD** we see a confirmed move in the price action following the release.

1. Select the Currency Pair

Before thinking about entering a news trade, we need to consider which currency pair could be most clearly affected by a specific news release. It's clear that the home currency of a news release should be in that pair; e.g. the US Dollar would be affected by US labor market data. Yet picking its counterpart is likewise significant.

There's no exact formula, and that is why we actively discuss currency pair selection for various news trades in our regular "Trading the News" report on DailyFX.com. You can always find a top marketmoving event on the [DailyFX Briefings page](#).

2. Is the News Better or Worse Than Forecast?

Once we pick our currency pair, we need to know whether the news is better or worse than expected. Many times it can be straightforward: a stronger employment gain should boost the domestic currency. Yet it's important to note that context is everything, and indeed we focus on that same topic in our "Trading the News" report.

3. If the news is better, did the currency rally? If it was worse did traders confirm by sending it lower?

Before initiating a position, we want confirmation as well as conviction to take a trade. With that said, we should gauge if the market reaction makes sense (positive US data should be bullish for the dollar), and need to see follow-through behind the initial move in order to trigger a trade.

Prior to the data print, we want to look at price action on a short-term time frame (5, 10, 15 minute charts), and use the closing prices following the release to dictate whether or not we should even trade the event risk at hand.

4. Remain able to enter the trade with two units

If there is a meaningful market reaction, we may enter a position with two small units when trading the news. As we play the short-term volatility that follows a news release, we want to be able to close the trade at gains when we can, while leaving some of our exposure on the table in order to soak in any additional advances that may come about as the day progresses.

5. Place Initial Stop for Both Lots

Given the risk of seeing choppy/ whipsaw-like prices following a major development, we ALWAYS want to set an initial stop for both positions in an effort to preserve our capital. Often, the major currencies tend to track sideways ahead of key events, and we like to set our stops above or below the range, as we anticipate a large move in one direction. Although this approach requires putting additional pips on the line, it may help avoid getting stopped out too early in the game and should help to identify a directional bias following the initial noise subsequent to the release.

6. Set Target for First Lot, Open Objective for Second Lot

In order to maximize our potential for success, we set a reasonable target for our first position but keep an open objective for the second lot, in the case the market reaction gathers pace throughout the trading session. By taking this approach, we are able to take advantage of the initial move following the event risk. We will likewise have an opportunity to maintain a small exposure should the pair at hand continue to move in our favor.

7. Move Stop on Second Lot When First Trade Reaches Mark

After hitting our initial target on our first position, we want to move the stop on the remaining lot to breakeven in an effort to preserve our profit. Given that we can't realistically know how far a currency pair will move, we'll allow the outstanding position to run once we've secured the first trade.

8. Use Discretion for Second Target

As we're still left with a smaller exposure, we want to use our best discretion in managing the trade; we should look for a reasonable target to book our remaining position. Since we've already moved the stop to cost, implementing this strategy would allow us to soak in at least the gains from the first trade even in the worst-case scenario.

Real World Example:



Figure 1 EUR/USD 5-Minute Chart

To put our strategy to work, let's get into a real world example, where we will take a look at the market reaction to U.S. Non-Farm Payrolls report—historically one of the most market-moving events for major currencies. Going into the event, the Non-Farm Payrolls forecast sat at 115K, but it's the deviation from market expectations that tends to produce increased volatility for a given data print.

Prior to the release, the EURUSD has traded within a relatively tight range, and we will use the sideways price action to trigger a trade, once we see a meaningful move in the exchange rate. Should we see a muted response, where the EURUSD preserves the range-bound price action following the release, the lack of a clear direction bias will keep us on the sidelines, as we look to preserve our capital.



Figure 2 EUR/USD 5-Minute Chart

Once the data print crossed the wires, we saw a spike in the EURUSD, as NFPs grew 114K amid forecasts for a 115K print and fell short of market expectations. However, the initial reaction quickly tapered off as the 5-minute candle closed back within the range. In turn, we were left on the sidelines and would need a more meaningful move to put us into a trade; the pair failed to close above the range.



Figure 3 EUR/USD 5-Minute Chart

Although the initial reaction fell short of triggering a potential trade, the next 5-minute candle on EURUSD closed above the range and gave us a trigger that we might enter a long EURUSD trade. As we anticipate further gains, we want to start thinking of a potential trade setup that fits the short-term volatility.

We would place the entry by the high of the candle that closed above the range as we look for a bullish break, and want to implement at least a 1:1 risk-to-reward ratio for the short-term position. In turn, we would set a buy entry up at the 1.3020 figure and a relatively tight stop at 1.2995 (below the range to avoid getting stopped out of the trade prematurely).



Figure 4 EUR/USD 5-Minute Chart

With our stop in place, we want AT LEAST a 1:1 risk-to-reward ratio; we will always risk at most what we stand to gain. This sets our initial target at 1.3045. Remember, we've set the stops on both lots at 1.2995 to limit our losses, but we only placed a limit order on one of the lots. We will let the trade pan out as we have our stops and a limit in place.



Figure 5 EUR/USD 5-Minute Chart

As we maintain our trade throughout the day, our first objective at 1.3045 gets triggered. We're still left with a small exposure on the EURUSD, and we can move the stop on the remaining position to cost (1.3020) in order to protect the gains we were able to pick-up following the initial reaction. At this juncture, any further advances in the EURUSD could further add to potential gains.

Options for when to close the second lot include manually moving the stop higher with additional gains, looking for a resistance point higher than the first target to place a second limit order, or setting a trailing stop that automatically rises with further gains.

Trade the News Overview:

Now that we've gone through the strategy, here's a basic checklist that should help avoid getting caught on the wrong side of the market following a news event.

- Does the Market Reaction Make Sense? (Bullish/Bearish Based on Market Expectation/Forecast)
- Wait for News/Noise to Feed Through
- Is The Event Worth Trading? (Risk vs. Reward)
- Look for Confirmation & Follow-Through Behind the Initial Reaction
- Identify Appropriate Stops/Limits

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